FROM THE
EDITOR-IN-CHIEF

Donald Trump's tariff blitz has rudely pitched India into the highest bracket. What was once a distant trade spat between the US and its rivals has now engulfed us, threatening to unravel years of patient work in building markets, businesses and livelihoods. Fortunately, the economy otherwise shows signs of strength. Just as the 50 per cent US tariffs kicked in on August 27, an unexpected piece of positive news offered a measure of relief. India's GDP growth for April-June clocked at 7.8 per cent, robust enough to absorb a predicted half to one per cent "tariff shock". Also, the accelerated GST reforms, long overdue, should free up liquidity and boost domestic demand. Prime Minister Narendra Modi's high-profile presence at the Shanghai Cooperation Organisation summit in Tianjin further underlined the country's growing centrality in a world order that's reordering itself. It's ironic, therefore, that critical export sectors, which are pillars of the economy in terms of jobs and growth, are staring at serious setbacks.

Nearly a fifth of India's total merchandise exports of $437 billion in FY25, about $86.5 billion, went to the US. Trade bodies peg the cumulative impact of the Trump tariffs at a staggering $47.5 billion, or 55 per cent of export value. These are not just cold numbers. In factory yards across India, it's the equivalent of a sudden flood, landslide and cloudburst combined. The damage is real, the pain acute, even if the storm proves transient. Revenues are being gouged, business models shredded, and millions of livelihoods are suddenly in jeopardy. Beyond containing the immediate fallout, the challenge will be to recoup the losses and rebuild the confidence of entrepreneurs. That's where India's resilience will truly be tested.

Consider the hardest hit. Engineering goods, at $20 billion, form the biggest component of our export basket to the US. For the sector's small and medium enterprises, the shock has been brutal. Take the brothers Pankaj and Manoj Chadha, who run Jyoti Steel Industries in Mumbai. The largest MSME exporter in its field, with a turnover of Rs 800 crore, it will take a loss of almost Rs 50 crore in sales. That too overnight. Their rivals from Indonesia, Thailand and Malaysia, with tariffs capped at 19 per cent, are suddenly more competitive. There are potential alternative markets—Latin America, West Asia, Africa—but shifting is easier said than done. "The US follows the old metric system. All dyes and tools we use in our plant are geared towards that," explains Pankaj. Reworking processes and finding new customers will take time. In the interim, losses worth $6 billion could spread across thousands of companies, jeopardising the future of 1.5 million workers.

Textiles, which has the next biggest exposure to the US at $10.8 billion, faces a similar nightmare. From Tirupur's knitwear hubs to the sprawling garment factories in Delhi-NCR, layoffs are imminent. The segment employs 45 million people. Adding insult to injury, Bangladesh, a direct competitor, faces only a 20 per cent tariff; as does Vietnam. A cruel reminder that global politics can arbitrarily tip the scales of comparative advantage.

The diamond industry is no less imperilled. Of India's $16 billion exports in cut and polished stones in FY25, $10 billion went to the US. Already unsettled by the challenge from lab-grown alternatives, the famed belt stretching from Surat through Gujarat's smaller towns now stares at collapse. A typical exporter like Vijay Mangukiya, who built his Rs 60 crore business from scratch, is staring at half his turnover vanishing. Competitors in Turkey, with a cushion of a 15 per cent tariff, are circling to seize the American market. Shifting to Europe, Canada or Australia is no quick fix. About 100,000 cutters and polishers face a dire future. Even in seafood exports to the US, which total $2.8 billion, the trade disruption will leave some 20 million fisherfolk in jeopardy.

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This week's cover story, assembled by Managing Editor M.G. Arun with bureau inputs from across India, surveys the wreckage across 10 key sectors reeling under Trump's tariffs. Thousands of companies face shrinking order books, potential closures and layoffs. The impact is visible in shuttered mills, idle workshops and the worried eyes of workers unsure of their tomorrow. This is where a magazine like INDIA TODAY plays a key role in humanising a story burdened with statistics. Witness here the faces of those who'll bear the brunt of Trump's irrational and hypocritical actions, while the West merrily continues to purchase cheap Russian energy.

And yet, India has not folded before Trump's belligerence. The government has, commendably, refused to let India be reduced to a vassal or a victim. Some ameliorative steps are likely for the 'Victims of Trump's Tariffs'. Such moves are necessary; but the government must not just shield, it must enable. The longer-term strategy must rest on diversification. India cannot afford to remain over-dependent on a single large market, however attractive. Yet diversification does not mean abandonment. The US remains the world's largest consumer market. Any strategy that writes it off is folly. Negotiations are continuing. The best possible outcome would be a restoration of normal trade. For two of the world's major economies to stay trapped in a destructive spiral is bizarre and self-defeating.

History shows India's resilience has always lain in its ability to adapt, improvise and persist. The tariff shock is another test of that capacity. Let's use it as a catalyst for reform and renewal.

(Aroon Purie)